

Product Discovery

Mapping Business Outcomes to Product Outcomes

Arindam Mukherjee





Waterfall time

When you think about **mapping business outcomes to product outcomes**, what are the questions, thoughts etc that come to your mind?

Post in the Chat.



You are tasked with increasing the revenue for Youtube. How would you proceed?



As a PM you'll operate in 2 spaces

Problem Space **Product Discovery**

Finding the *right problem*

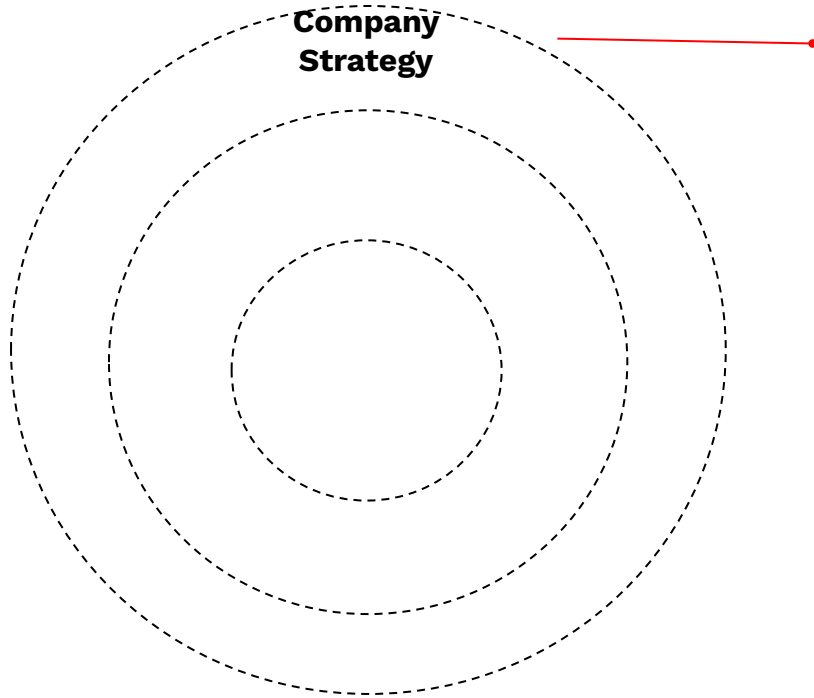
Working with user researchers and analysts

Solution Space **Product Delivery**

Finding the *right solution*

Working with designers, engineers, QA, analysts, marketing, etc

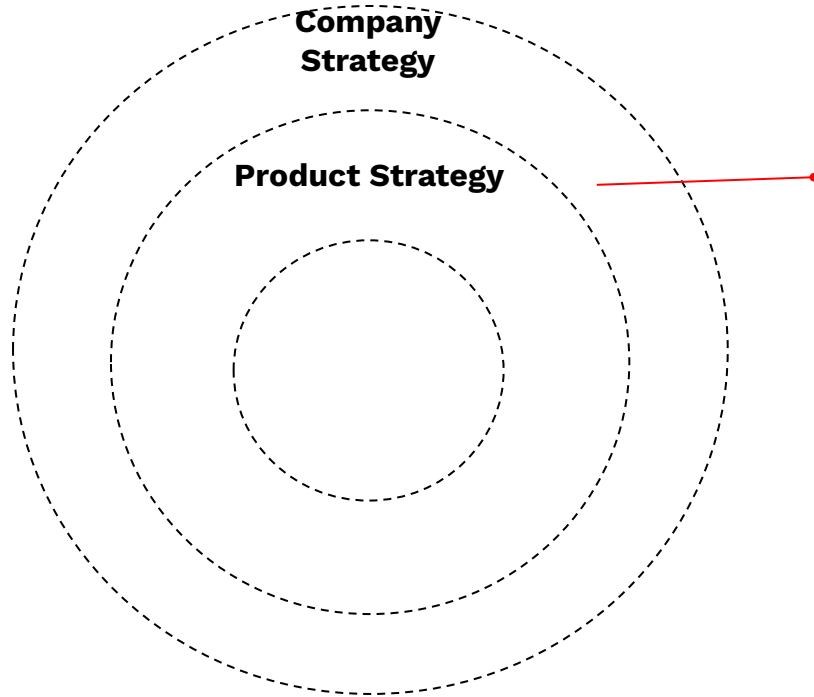
Problems you work on should be aligned with the product strategy which in turn should be aligned with the company's strategy



Provides non-feature guidance on **where the company wants to go based on company goals**

Triggers fundamental shifts like entering new markets or shifting business models

Credits: Tim Herbig

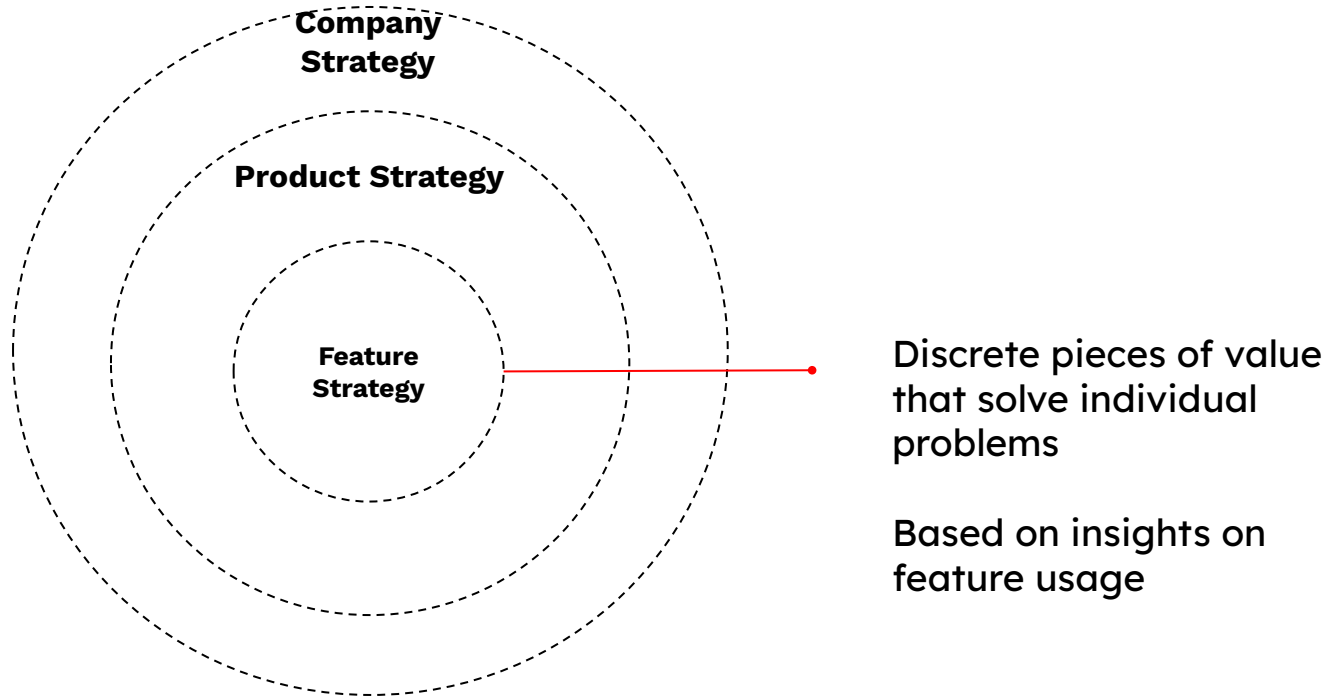


Bundles of features that create value for a core use case or business problem

Represents the **winning choices to execute** given a strategic direction for the business

Credits: Tim Herbig

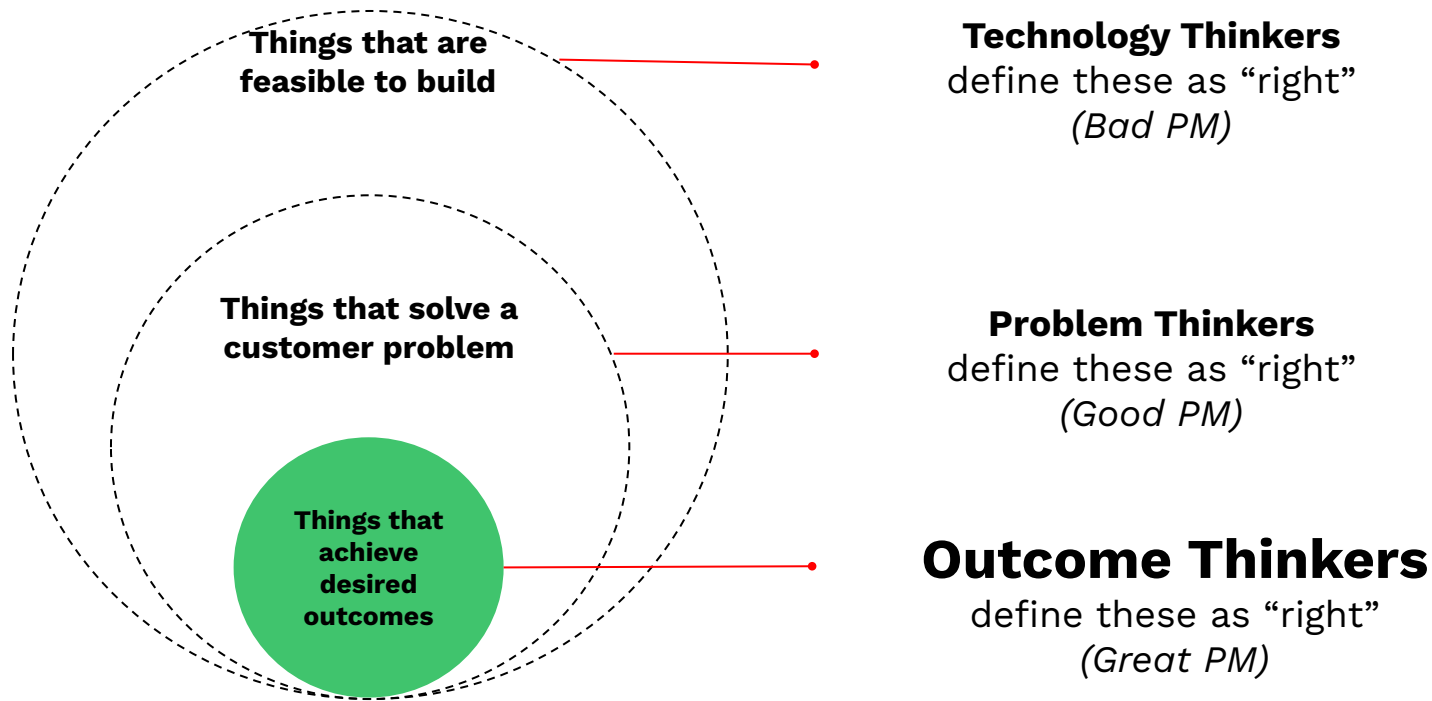
Product Manager Fellowship - **Product Discovery: Mapping business outcomes to product outcomes**



Credits: Tim Herbig

What are the **right** products to build?

nextLeap



Credits: Max Bennett

Which team's roadmap would you choose?

nextLeap

Team A

Feature 1

Feature 2

Feature 3

Output oriented

Team B

Metric A: Opportunity 1

Metric A: Opportunity 2

Metric B: Opportunity 3

Outcome oriented

But in real life, this is what happens

nextLeap

Team C

Metric A: Feature 1

Metric A: Feature 2

Metric B: Feature 3

Why do you think this happens?

**Focus on the desired outcome *before* starting
the product development process**

As product managers, we think about growing the business.

Growth comes from solving customer **AND business problems**

**So, first let's understand a few things
“business”**

Some of the business outcomes that matter

nextLeap

1. **Profits** = Revenue - Costs
2. **Revenue** = # customers X Avg. order value/customer
3. **Costs** = Cost of goods sold + cost of running operations
4. **Market share** = Total sales / Total Available Market size
5. **Customer Churn rate** = No. of customers lost/Total customers
(over a certain time period)

But you get these numbers **AFTER the events
have happened**

(eg. you get a sense of the profits after the
revenues have hit your a/c and expenses have
been incurred)

**Hence, business outcomes are
lagging indicators**

Lagging indicator: An indicator of past performance that shows how we performed

There are 6 predominant business models

nextLeap

1. Selling a product/service
2. Renting a product
3. Commission based sales
4. Charge a subscription fee
5. Charge based on usage
6. Advertising based

Now, let's write down the Revenue in the form of an equation for each of these business models

Focus on what is being sold

Selling a product/service

Revenue = ?

Selling a product/service

Revenue = # customers X avg. order value/customer

Renting a product

Revenue = ?

Renting a product

Revenue = # rental customers X avg. rental
value/customer

Commission based sales

Revenue = ?

Commission based sales

Revenue = Commission rate per transaction X
Total # of transactions

Charge a subscription fee

Revenue = ?

Charge a subscription fee

Revenue = # subscribers X subscription price

Charge based on usage

Revenue = ?

Charge based on usage

Revenue = # users X avg. usage per user X
price per usage unit

Advertising based

Revenue = ?

Advertising based

Revenue = # ad impressions X Cost per
impression

Let's try one more time

How would you break down this metric?

Revenue for Youtube

What is the business model for Youtube?

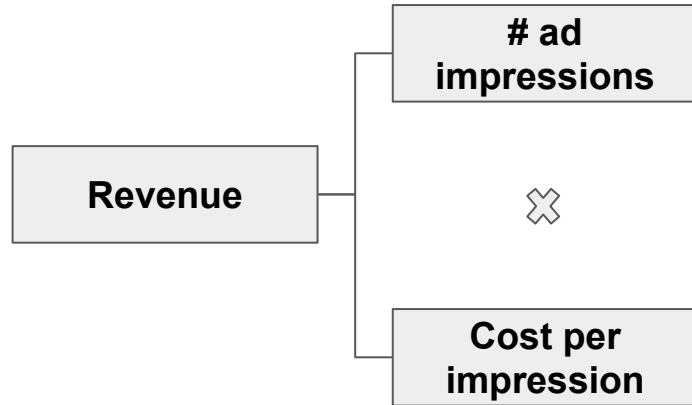
What is the business model for Youtube?

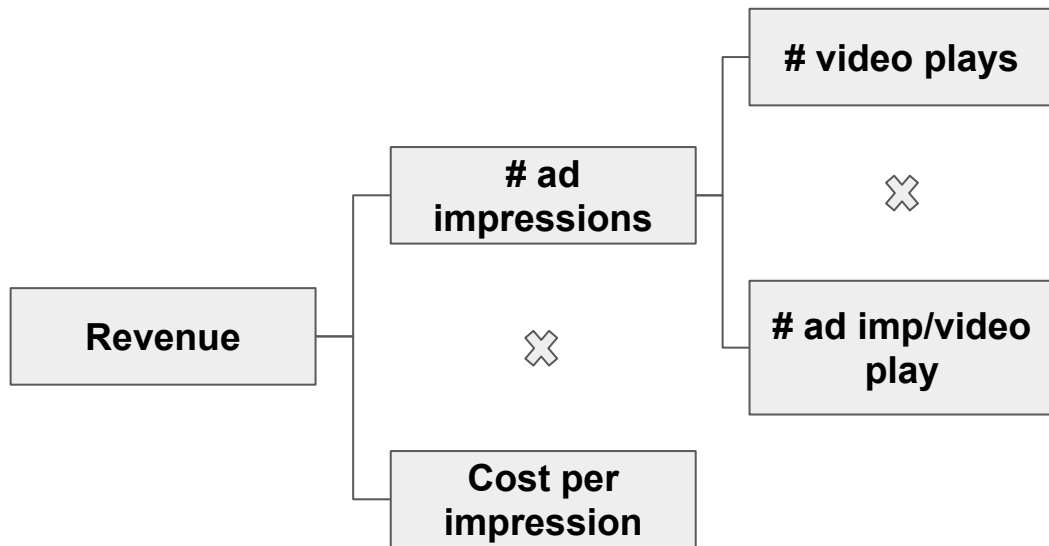
Primarily Advertising based

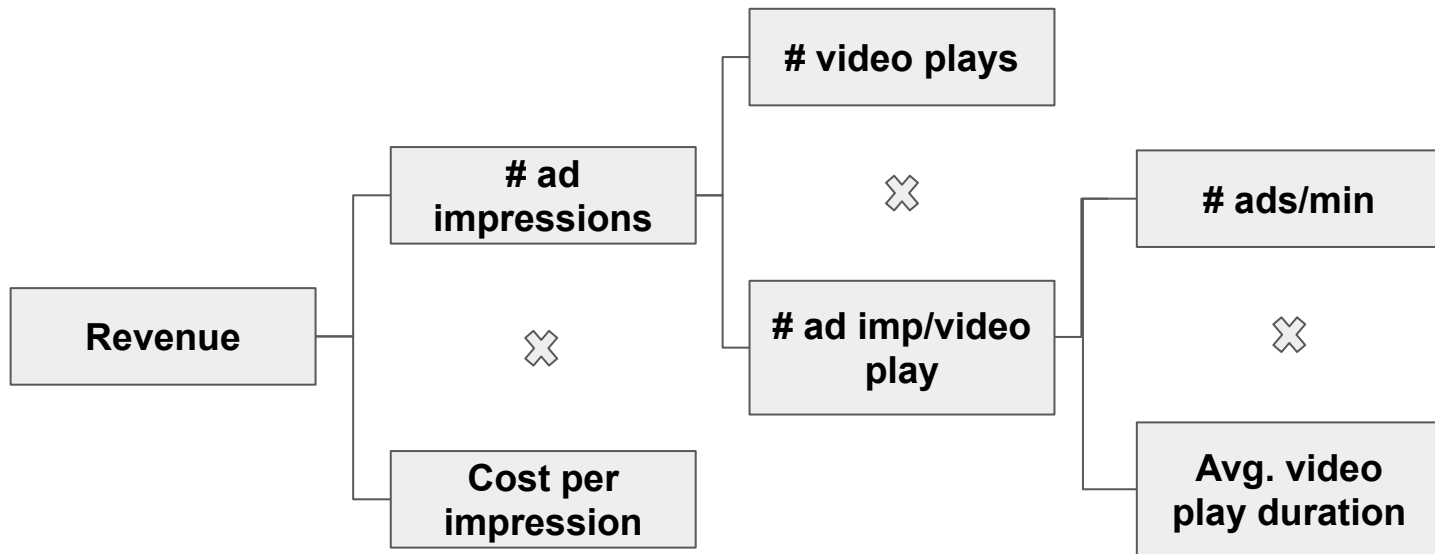
*(also subscription based with Youtube Premium
and rental for YouTube Movies)*

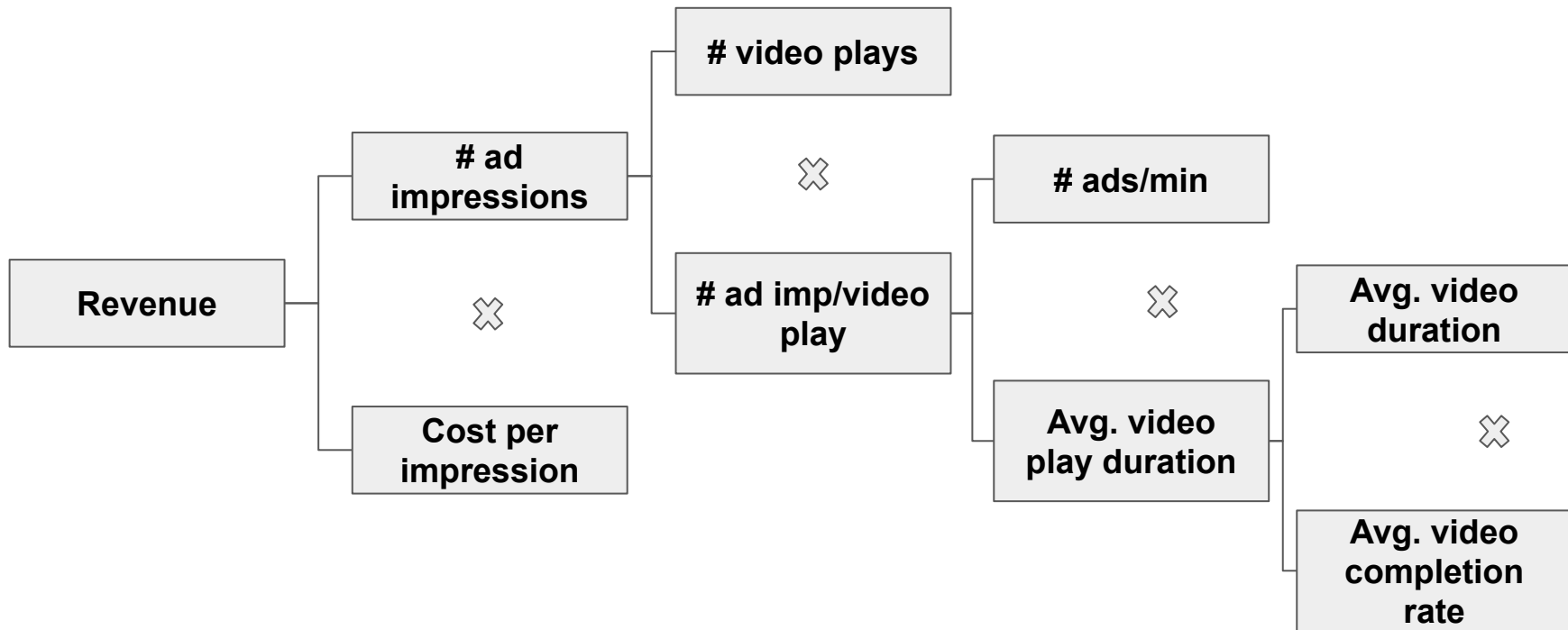
We'll keep things simple for easier understanding of the process.

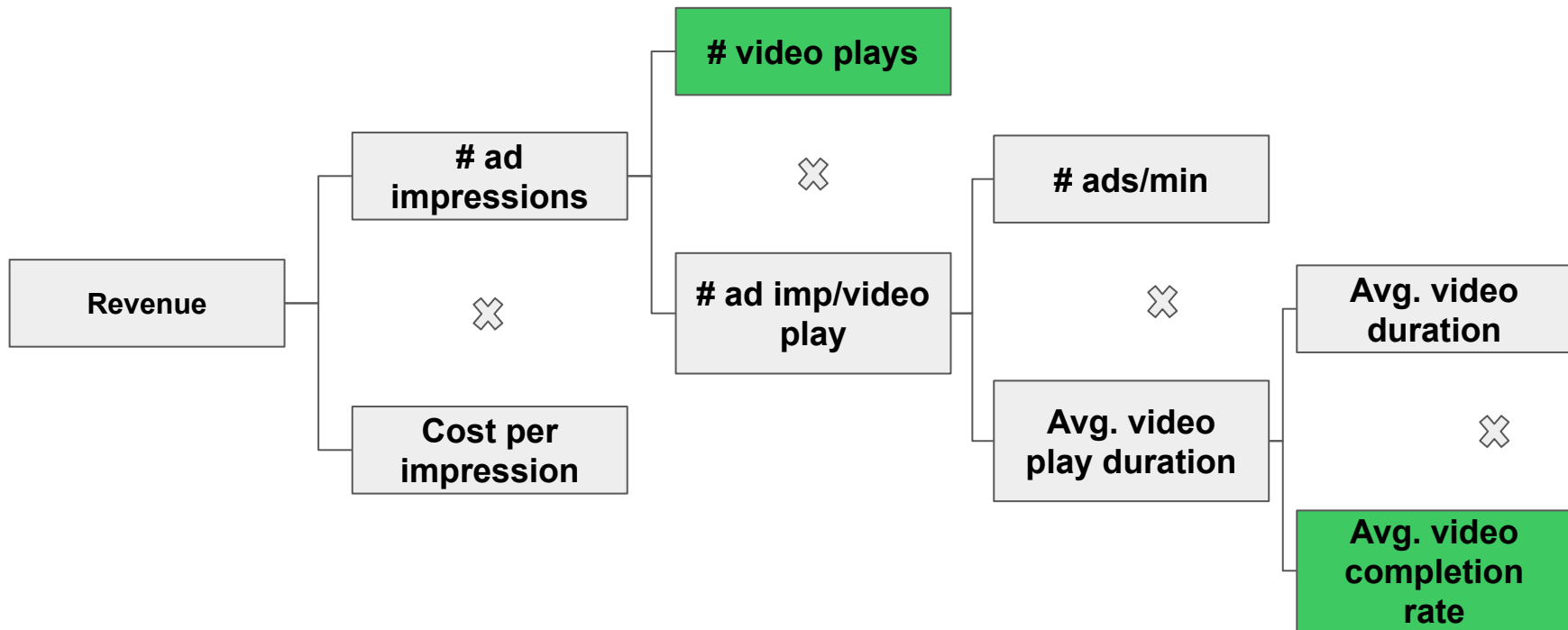
Assume that YouTube has only impression based advertising in the form of video ads. All videos have ads. All ads are skippable.







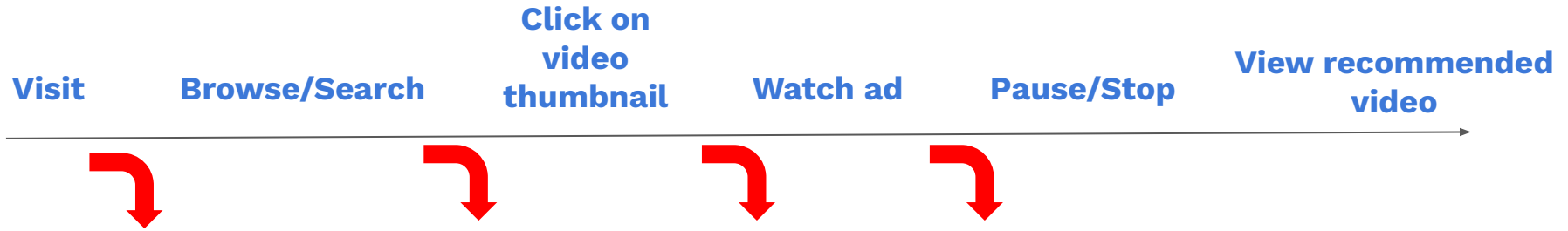




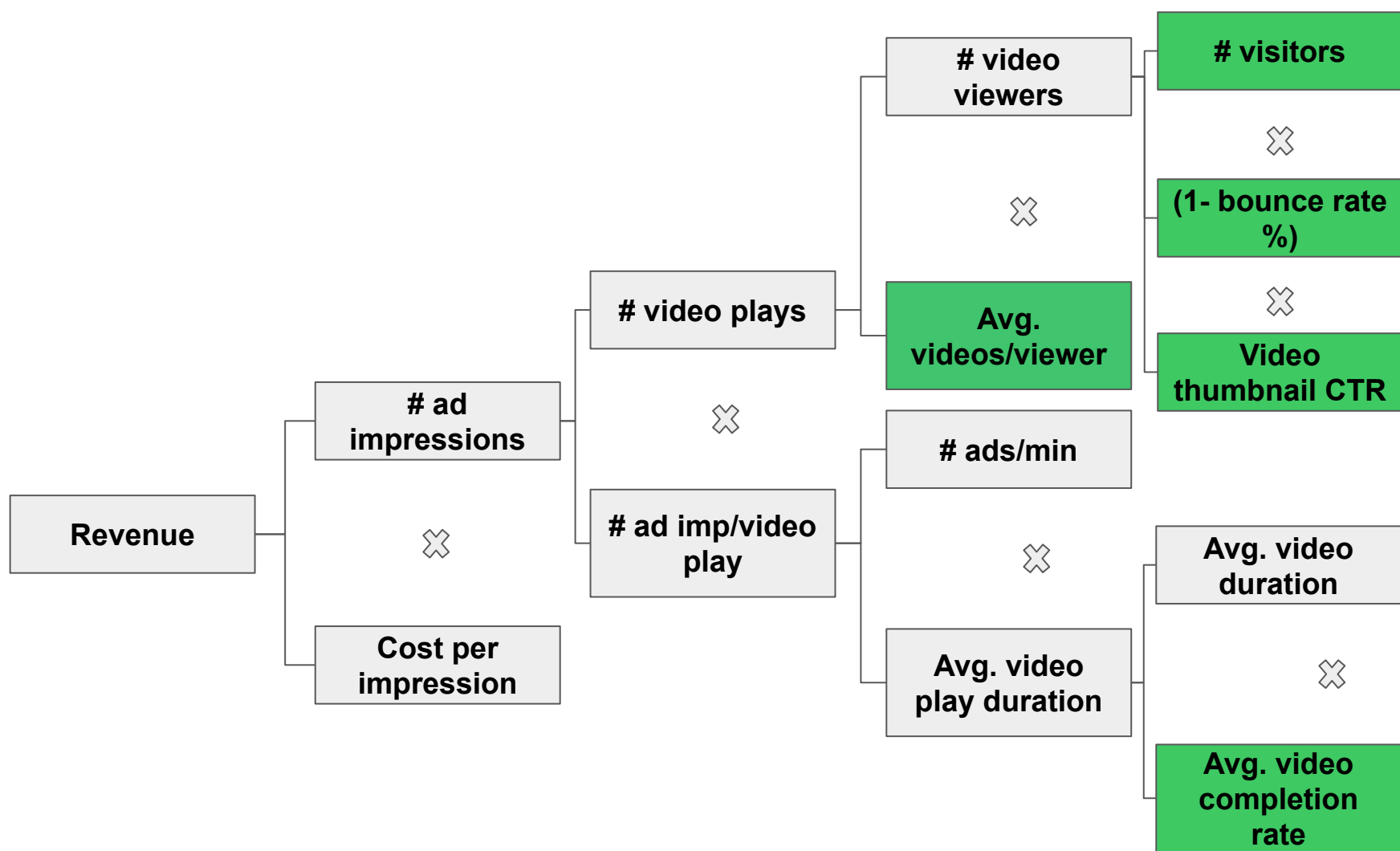
Now, how can you increase # video plays?

Let's start by looking at the user journey

What are the steps you go through in the process of watching a video?



Now, how would you write # video plays in the form of an equation?



What we did is an example of a KPI tree

Business outcomes won't happen without a change in human behaviour. Product outcomes define those changes in human behaviour

**Revenue → Lagging indicator
(business outcome)**

**Video thumbnail CTR → Leading indicator (product
outcome)**

As a product manager, you will be shipping products that impact leading indicators and thus impact the business outcome

**Once you have the product outcomes defined,
what do you do next?**

Break down the desired outcome using the Outcome-Opportunity-Solution tree

We'll cover this next week

So, in summary

nextLeap

- The first step in product development is to map business outcomes to product outcomes
- You can do that by using KPI trees
- For KPI trees: start with a lagging indicator and break in down further to get to leading indicators

QUESTIONS?

???

???

???